

Singapore: Assessing the risks from Middle East escalation

Economics/GDP/Inflation

DBS Group Research

March 10, 2026

Chua Han Teng, CFA
Senior Economist



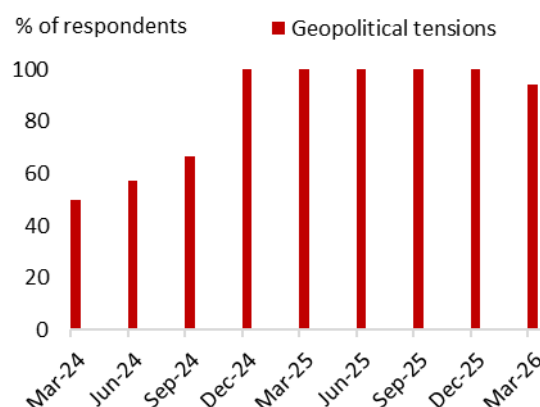
Please direct distribution queries to
Violet Lee +65 68785281 violetleeyh@db.com

- *Singapore's economy is confronting the Middle East uncertainty from a relatively strong position.*
- *It is exposed to the global energy shock due to its status as a price taker and its high import dependency, although risks are partly mitigated by diversified supply.*
- *Direct goods exports exposure to the Middle East is limited.*
- *Oil prices remaining at ~USD100/bbl would likely lift inflation more than they would depress economic growth.*
- *Policy space is ample to tackle this shock.*

Geopolitical risks have intensified significantly in March amid the ongoing escalation of Middle East tensions sparked by US-Israeli military strikes on Iran. Global oil and gas prices have surged on the back of the Iran-centred conflict, which is already disrupting energy shipments through the Straits of Hormuz - the world's most critical energy chokepoint, with ~20% of global oil and gas flows transiting through it.

Singapore will be negatively impacted from the wider Middle East disruption. We assess the impact to be felt more through the inflation channel, given Singapore's position as a price taker that is highly dependent on energy imports. Nonetheless, the economy is confronting this uncertainty from a relatively strong position, amid solid growth momentum buoyed by global artificial intelligence-related tailwinds, still-low inflation, healthy external metrics, and ample policy space in early 2026.

Potential downside risks to the Singapore economy

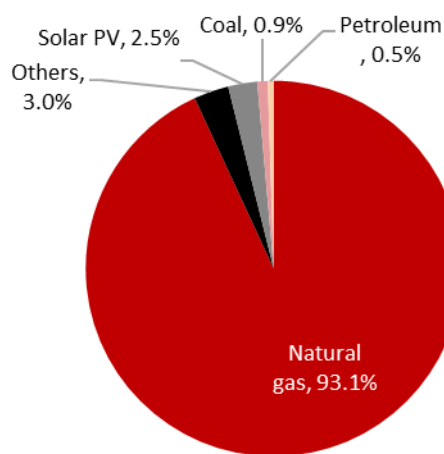


Source: MAS Survey of Professional Forecasters, DBS
Note: The chart refers to the absolute share of respondents, who have cited geopolitical tensions as a downside risk.

Energy supply and trade exposure

Singapore is exposed to the current global energy shock due to its high import dependency, although risks are partly mitigated by diversified supply. It relies heavily on natural gas for electricity generation, accounting for >90% of the energy mix, with costs tied to oil prices by commercial contracts.

Singapore electricity generation energy mix

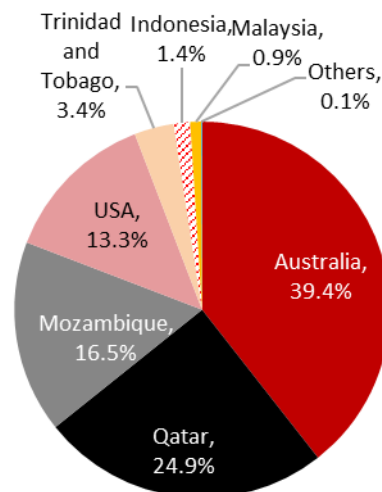


Source: Energy Market Authority, DBS
Note: data as of 1H25.

Singapore's liquified natural gas (LNG) import mix is well distributed. Although Qatar accounted for ~25% share in volume terms as of 2024 (with some news sources citing >40% share in 2025), other key supply sources included Australia, Mozambique, and the US. Pipeline natural gas supplies from Indonesia and Malaysia, which together accounted for 43% of overall natural gas imports in 2025, provide an additional buffer. However, crude oil imports are more exposed to the Middle East, with ~50% in total coming from the UAE, Qatar, and Saudi Arabia in 2024, although the US was also another notable supplier.

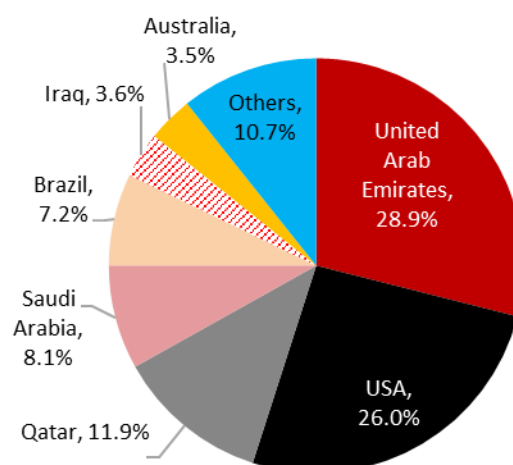
Singapore's direct goods exports exposure to the Middle East is limited, accounting for ~1.5% of the total in 2025. This suggests that a demand shock in the Middle East is unlikely to place significant downside pressure on exports.

Singapore LNG imports by source



Source: UN Comtrade, DBS
Note: Calculations were based on volumes as of 2024.

Singapore crude oil imports by source



Source: UN Comtrade, DBS
Note: Calculations were based on volumes as of 2024.

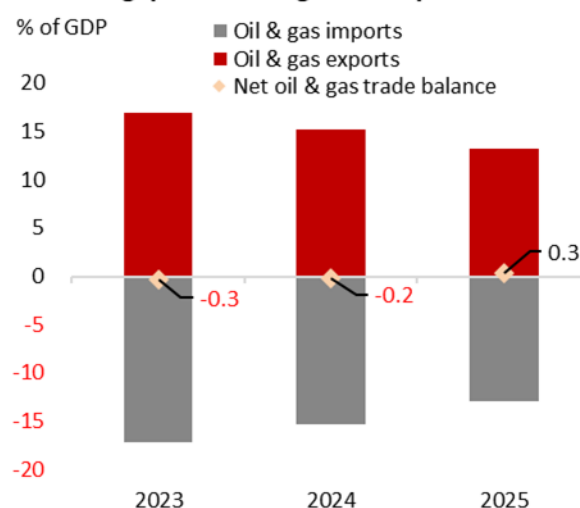
Macroeconomic implications

The global energy price shock in an event of a protracted Middle East conflict would likely raise Singapore's inflation more than it would depress economic growth, in our view. If Brent crude oil price remains at around USD100/bbl for the rest of the year, we estimate that Singapore's headline inflation could rise by around 1.5 percentage points (pp), while real GDP growth could be lowered by 0.4 pp (see [‘Macro Insights Weekly: Asia’s vulnerability to the Iran crisis’](#) for additional analysis for other Asian economies).

Singapore's consumers and export-oriented firms will have to brace for higher electricity, transport-fuel, and shipping costs arising from the increase in global energy prices and supply chain disruptions from the Middle East conflict. We estimate around 7+% of the overall CPI basket would likely be directly impacted by higher energy prices. Manufacturers are already facing capacity and supply chain constraints, as reflected in the sharper contraction in the supplier deliveries sub-index of the February manufacturing purchasing managers' index at 49.6 – the lowest in about two years since early 2024. The escalation in geopolitical tensions only heightens the risks of further disruptions that could dampen factory and trade growth.

However, Singapore's energy intensity per unit of GDP has been declining over the years due to improvements in energy efficiency. Considering Singapore's net oil and gas trade position, a potentially higher oil and gas import bill from the price spike could be offset by increased export revenues amid improved refining margins, even though the chemical sector faces disruptions.

Singapore's oil & gas trade position



Source: CEIC, DBS

Policy implications

Singapore has ample policy space to tackle the external shock from Middle East geopolitical uncertainty. On fiscal policy, we think the government has significant room to deploy targeted cost-of-living support measures, should energy-driven inflation place meaningful pressures on households over the coming months, consistent with its response in past high inflation periods in 2022 and 2023. Fiscal space is supported by its healthy public finances, having budgeted an overall fiscal surplus of 1.0% of GDP in FY2026, distinguishing Singapore from more fiscally constrained ASEAN economies.

On monetary policy, imported price pressures should continue to be dampened by the ongoing appreciation of the Singapore dollar nominal effective exchange rate (SGD NEER), following the Monetary Authority of Singapore (MAS)'s decisions to maintain the policy band's appreciation in January 2026, as well as October and July 2025. However, the recent spike in global energy prices is starting to complicate the MAS's policy bias towards earlier tightening.

Group Research

Economics & Strategy

Taimur BAIG, Ph.D.

Chief Economist

Global

taimurbaig@db.com

Wei Liang CHANG

FX & Credit Strategist

Global

weiliangchang@db.com

Mo Ji, Ph.D.

Chief Economist

China/HK SAR

mojim@db.com

Tieying MA, CFA

Senior Economist

Japan, South Korea, Taiwan

matieying@db.com

Sherilyn Hui Min CHEW

Multi-asset strategist

Global

sherilync Chew@db.com

Byron LAM

Economist

China/HK SAR

byronlamfc@db.com

Radhika RAO

Senior Economist

Eurozone, India, Indonesia

radhikarao@db.com

Nathan CHOW

Senior Economist

China/HK SAR

nathanchow@db.com

Violet LEE

Associate

Publications

violetleeyh@db.com

Amanda SEAH

Credit Analyst

USD, SGD, AUD

amandaseah@db.com

Han Teng CHUA, CFA

Senior Economist

Asean

hantengchua@db.com

Tracy Li Jun LIM

Credit Analyst

USD, SGD

tracylimt@db.com

Daisy SHARMA

Analyst

Data Analytics

daisy@db.com

Ian Haan CHUI

Credit Analyst

USD

ianchui@db.com

Teng Chong LIM

Credit Analyst

USD, SGD, AUD

tengchonglim@db.com

Joel SIEW, CFA

Credit Analyst

USD, SGD, AUD

joelsiew@db.com

Dexter CHUN

Credit Analyst

USD

dexterchun@db.com

Eugene LEOW

Senior Rates Strategist

G3 & Asia

eugeneleow@db.com

Mervyn TEO

Credit Analyst

USD, SGD, AUD

mervynteo@db.com

Iris GAO

Credit Analyst

USD

irisgao@db.com

Lilian LV

Credit Analyst

USD

lilianlv@db.com

Samuel TSE

Rates Strategist

Asia

samueltse@db.com

Philip WEE

Senior FX Strategist

Global

philipwee@db.com

Sources: Data for all charts and tables are from CEIC, Bloomberg and DBS Group Research (forecasts and transformations)

GENERAL DISCLOSURE/ DISCLAIMER (For Macroeconomics, Currencies, Interest Rates & Digital Asset)

The information herein is published by DBS Bank Ltd and/or DBS Bank (Hong Kong) Limited (each and/or collectively, the "Company"). It is based on information obtained from sources believed to be reliable, but the Company does not make any representation or warranty, express or implied, as to its accuracy, completeness, timeliness or correctness for any particular purpose. Opinions expressed are subject to change without notice. This research is prepared for general circulation. Any recommendation contained herein does not have regard to the specific investment objectives, financial situation and the particular needs of any specific addressee. The information herein is published for the information of addressees only and is not to be taken in substitution for the exercise of judgement by addressees, who should obtain separate legal or financial advice. The Company, or any of its related companies or any individuals connected with the group accepts no liability for any direct, special, indirect, consequential, incidental damages or any other loss or damages of any kind arising from any use of the information herein (including any error, omission or misstatement herein, negligent or otherwise) or further communication thereof, even if the Company or any other person has been advised of the possibility thereof. The information herein is not to be construed as an offer or a solicitation of an offer to buy or sell any securities, futures, options or other financial instruments or to provide any investment advice or services. The Company and its associates, their directors, officers and/or employees may have positions or other interests in, and may effect transactions in securities mentioned herein and may also perform or seek to perform broking, investment banking and other banking or financial services for these companies. The information herein is not directed to, or intended for distribution to or use by, any person or entity that is a citizen or resident of or located in any locality, state, country, or other jurisdiction (including but not limited to citizens or residents of the United States of America) where such distribution, publication, availability or use would be contrary to law or regulation. The information is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction (including but not limited to the United States of America) where such an offer or solicitation would be contrary to law or regulation.

[#for Distribution in Singapore] This report is distributed in Singapore by DBS Bank Ltd (Company Regn. No. 196800306E) which is Exempt Financial Advisers as defined in the Financial Advisers Act and regulated by the Monetary Authority of Singapore. DBS Bank Ltd may distribute reports produced by its respective foreign entities, affiliates or other foreign research houses pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Where the report is distributed in Singapore to a person who is not an Accredited Investor, Expert Investor or an Institutional Investor, DBS Bank Ltd accepts legal responsibility for the contents of the report to such persons only to the extent required by law. Singapore recipients should contact DBS Bank Ltd at 65-6878-8888 for matters arising from, or in connection with the report.

DBS Bank Ltd., 12 Marina Boulevard, Marina Bay Financial Centre Tower 3, Singapore 018982. Tel: 65-6878-8888. Company Registration No. 196800306E.

DBS Bank Ltd., Hong Kong Branch, a company incorporated in Singapore with limited liability. 18th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

DBS Bank (Hong Kong) Limited, a company incorporated in Hong Kong with limited liability. 11th Floor, The Center, 99 Queen's Road Central, Central, Hong Kong SAR.

Virtual currencies are highly speculative digital "virtual commodities", and are not currencies. It is not a financial product approved by the Taiwan Financial Supervisory Commission, and the safeguards of the existing investor protection regime does not apply. The prices of virtual currencies may fluctuate greatly, and the investment risk is high. Before engaging in such transactions, the investor should carefully assess the risks, and seek its own independent advice.